

Venture Capital and Entrepreneurial Management

MGMT 264

Analysis of a Term Sheet (Caselette #5)

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Analyzing a Term Sheet - Cap Table

Type of Stock	Number of Shares	Total Investment
Common Stock	3,000,000 outstanding	N/A
Stock Option	500,000	N/A
Series A Preferred	2,500,000 outstanding (\$1.00/share)	\$2,500,000
Series B Preferred	2,000,000 outstanding (\$3.50/share)	\$7,000,000

What is the Post Money Valuation?

Analyzing a Term Sheet

- Dividends

Items	Venture Capitalist
Initial Conditions	Cumulative non-cash dividends of 10% of the original cost
Result from Q1 (IRR=50%)	(1) Price/share=\$8.16; (2) Ownership=38%; (3) # of shares=612,903
Cumulative Dividends	\$5M (Investment) * 10% * 5years=\$2.5M
Dividends Conversion	\$2.5M/\$8.16=306,372 shares
Total shares	612,903 + 306,373=919,275
Final Ownership	919,275/(1M+919,275)=47.8%

Time	0	1	2	3	4	5	IRR
Investor 1	-\$5M	0	0	0	0	\$47.8M	57.1%

- **Notes:** Cumulative dividends serve to increase Benedicta's de facto claim on the value created from the nominal 38% equity stake to 47.8% , while increasing her rate of return from 50% to 57.1%.

Analyzing a Term Sheet

- Liquidation Preference

- If HiTech is sold at \$40 million...

Series	Shares	% Own	Invest	LP	Payback	Participate	Final	Final %
Common	3M	40%				40%*\$16.5M=\$6.6M	\$6.6M	16.5%
Preferred A	2.5M	33%	\$2.5M	1X	\$2.5M	33%*\$16.5M=\$5.445M	\$7.945M	20.0%
Preferred B	2M	27%	\$7M	3X	\$21M	27%*\$16.5M=\$4.455M	\$25.455M	63.5%
Total	7.5M	100%	Firm Value: \$40M		\$23.5M	\$16.5M	\$40M	100%

Note: (i) This calculation ignores the cumulative dividend; (ii) Only shares outstanding at the time of the sale participate in the distribution of the proceeds from the sale.

Liquidation Overhang

- The Impact of Liquidation Preferences and Fully Participating Pref. Shares

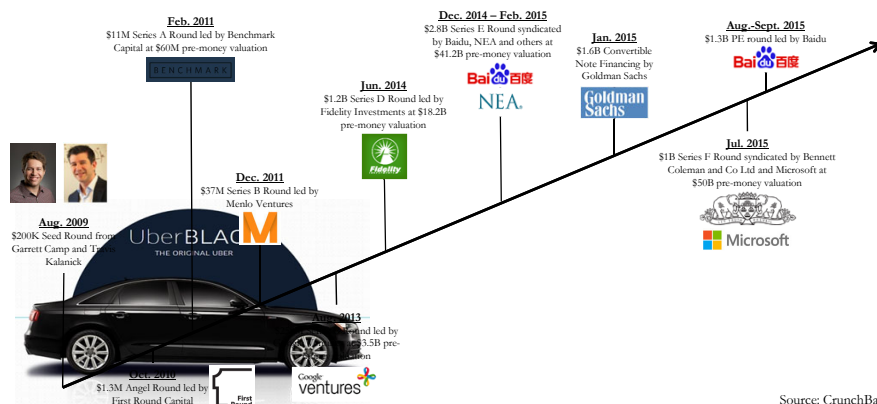
Type of Stock	Number of Shares	Total Investment	% of Ownership (on a fully diluted basis)	% of Ownership (on a distribution basis)	% of Ownership (de facto in trade sales)
Common Stock	3,000,000 outstanding	N/A	37.5%	40.0%	16.5%
Stock Option	500,000	N/A	6.3%		
Series A Preferred	2,500,000 outstanding (\$1.00/share)	\$2,500,000	31.3%	33.3%	20.0%
Series B Preferred	2,000,000 outstanding (\$3.50/share)	\$7,000,000	25.0%	26.7%	63.5%

Caselette #5

- Liquidation Preference Overhang

■ The Uber Example

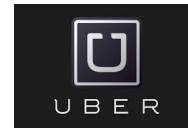
□ The Fundraising Process



Source: CrunchBase

Caselette #5

- Liquidation Preference Overhang



- The Uber Example
 - The Capitalization after Series E round

Classes of Stocks	% Own	Investment	Liq. Pref.	Defined Liq. Pref.	If Uber would be sold for \$5 billion after Series E financing			
					Liq. Pref. Payout	Participating	Total Proceeds	% of Proceeds
Common	44.8%	N/A	N/A	N/A	0	\$222,462,497	\$222,462,497	4.4%
Series Seed Preferred	13.2%	\$1,577,146	1x, non-p	\$1,577,146	0	\$65,478,417	\$65,478,417	1.3%
Series A Preferred	11.5%	\$14,062,282	1x, non-p	\$14,062,282	0	\$57,209,821	\$57,209,821	1.1%
Series B Preferred	9.4%	\$43,829,365	1x, non-p	\$43,829,365	0	\$46,521,522	\$46,521,522	0.9%
Series C Preferred	8.2%	\$364,175,760	1.25x, non-p	\$455,219,699	\$455,219,699	0	\$455,219,699	9.1%
Series D Preferred	6.6%	\$1,352,632,595	1x, non-p	\$1,352,632,595	\$1,352,632,595	0	\$1,352,632,595	27.1%
Series E Preferred	6.4%	\$2,800,475,449	1x, non-p	\$2,800,475,449	\$2,800,475,449	0	\$2,800,475,449	56.0%
Total	100%	\$4,576,752,597		\$4,667,796,536	\$4,608,327,743	\$391,672,257	\$5,000,000,000	100%

Source: Uber's Certificate of Incorporation as of February 18, 2015

Caselette #5

- Liquidation Preference Overhang



- The Uber Example
 - Proceeds Distribution at Different Liquidation Values

Classes of Stocks	% Ownership	If Uber would be sold at ...							
		\$1Bn	\$3Bn	\$5Bn	\$10Bn	\$15Bn	\$20Bn	\$30Bn	\$50Bn
		% of Proceeds	% of Proceeds	% of Proceeds	% of Proceeds	% of Proceeds	% of Proceeds	% of Proceeds	% of Proceeds
Common	44.8%	0.0%	0.0%	4.4%	30.1%	37.2%	40.8%	43.4%	44.8%
Series Seed Preferred	13.2%	0.0%	0.0%	1.3%	8.9%	10.9%	12.0%	12.8%	13.2%
Series A Preferred	11.5%	0.3%	0.3%	1.1%	7.7%	9.6%	10.5%	11.1%	11.5%
Series B Preferred	9.4%	0.9%	0.9%	0.9%	6.3%	7.8%	8.5%	9.1%	9.4%
Series C Preferred	8.2%	9.8%	9.8%	9.1%	5.5%	6.8%	7.5%	7.9%	8.2%
Series D Preferred	6.6%	29.0%	29.0%	27.1%	13.5%	9.0%	6.8%	6.4%	6.6%
Series E Preferred	6.4%	60.0%	60.0%	56.0%	28.0%	18.7%	14.0%	9.3%	6.4%

Your Questions?

